California DOT Contractors Keep Going Over Budget — Here's What the Data Says

California spends more on maintaining its highways, interstates, and bridges than any other state in the country. Hundreds of construction contracts are given out each year for repair, resurface, and expanding roads in the state.

But how is that money being spent?

When Caltrans starts a project and accepts a winning bid from contractors, how often to projects stay within budget or below? Who Wins those projects? How is the competition in bidding?

To answer those questions, I built a database using publicly available pay estimates released by Caltrans and requested additional data via public records request to obtain historical data. The dataset includes 2,292 (*Q1) contracts awarded between 2019 and 2026 for construction projects, $19.25 billion (*Q1). Every line item, every contractor bid, and every final payment.

Of the total number of contracts, 1,645(*Q2) have completed final pay estimates, i.e., the actual final cost is known to them as alleged by them. That can be compared to the winning bid from the bid tabulations. The remaining contracts are either still active, waiting for closeout, or have no final estimates.

This article may seem familiar because I recently wrote another article on this topic about Colorado's CDOT construction project data. Go read that here

Inside $7 Billion of CDOT Contracts: Who Wins, Who Loses, and Why

Colorado spends billions of dollars maintaining its highways, interstates, bridges, and mountain...

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The Dataset at a Glance

The table below breaks down every contract by bid opening year between 2019–2026, using the winning (low) bid as the contract value. These are awarded amounts, not final costs.

Year	Contracts	Completed	In_Progress	Total_Value	Average_Contract	Avg_Bidders
2019	334	329	5	$2,705,389,358	$8,099,968	5.3
2020	305	294	11	$2,036,255,883	$6,676,249	5.9
2021	344	320	23	$2,296,891,674	$6,677,011	5.9
2022	369	302	66	$2,802,265,723	$7,594,216	4.8
2023	334	241	92	$2,823,456,370	$8,453,462	4.4
2024	295	130	163	$2,831,811,356	$9,599,361	5
2025	280	27	142	$3,517,181,457	$12,561,362	5.7
2026	29	0	0	$236,187,587	$8,144,400	5.8

*Q3

The average contract comes in at $8.4 million (*Q1), though the range is enormous—from under $65,000 for routine sign installations up to a $274.9 million mega-project (*Q1).

The trend line is clear: awarded values jumped from $2.0B in 2020 to $3.5B in 2025, and the average contract nearly doubled from $6.7M to $12.5M over the same period. Construction cost inflation and increasingly ambitious project scopes both play a role.

Bidder participation took a hit in 2022–2023, dropping from 5.9 average bidders to 4.4—but bounced back to 5.7 by 2025. Even at the trough, California's competition levels were well above other states. Colorado, for comparison, averaged just 2.6–3.6 bidders per contract during the same window.

Where the Money Goes: Spending by District

Caltrans splits the state into 12 districts, each covering distinct terrain, traffic volumes, and construction environments.

Region ID	Region Name	Contracts	Total_Value	Avg_Contract	Avg_Bidders
4	Oakland/Bay Area	331	$3,246,940,805	$9,809,489	5.3
7	Los Angeles	300	$2,601,870,089	$8,672,900	6.1
8	San Bernardino	236	$2,380,959,261	$10,088,810	6.2
3	Marysville	247	$2,250,867,459	$9,112,824	5
12	Irvine/Orange County	159	$1,736,285,220	$10,920,033	7
6	Fresno	212	$1,600,797,517	$7,550,932	4.7
5	San Luis Obispo	163	$1,083,770,882	$6,648,901	4.3
11	San Diego	121	$1,076,286,232	$8,894,928	5
1	Eureka	130	$1,017,873,378	$7,829,795	4.8
10	Stockton	174	$974,849,133	$5,602,581	4.9
2	Redding	143	$803,816,883	$5,621,097	4.3
9	Bishop	76	$479,611,618	$6,310,679	3.9

*Q7

The Bay Area (District 04) and Los Angeles (District 07) combine for over $3.2B. Los Angeles (District 07) is second at $2.60B. Together, the Bay Area and LA represent over 30% of all Caltrans contract dollars.

Southern California's inland empire (District 08—San Bernardino) has a high average contract value at $10.1M, while also enjoying the second-highest competition level at 6.2 average bidders. Irvine/Orange County (District 12) has the highest average contract value at $10.9M and the most competitive market at 7.0 average bidders.

Rural districts—Bishop (09), Redding (02), and San Luis Obispo (05)—have lower competition (3.9–4.3 bidders) and lower average contract values, consistent with the smaller contractor pool available in those areas.

Top Contractors

Just 10 firms have captured $6.56 billion (*Q5) in Caltrans work—34.1% (*Q5) of all awarded dollars across 400 of 2,292 contracts.

Contractor	Contracts_Won	Total_Bids	Win_Rate_Pct	Total_Value
GRANITE CONSTRUCTION COMPANY	147	585	25.10%	$1,685,593,407
SECURITY PAVING COMPANY INC.	25	166	15.10%	$1,111,884,219
BAY CITIES PAVING & GRADING INC.	20	49	40.80%	$677,271,243
O.C. JONES & SONS INC.	50	114	43.90%	$590,077,325
MYERS & SONS CONSTRUCTION LLC	59	307	19.20%	$554,622,191
GRIFFITH COMPANY	48	208	23.10%	$496,406,957
BAY CITIES PAVING & GRADING	21	52	40.40%	$468,188,575
GOLDEN STATE BRIDGE INC.	22	177	12.40%	$385,294,373
DESILVA GATES CONSTRUCTION LLC	5	25	20%	$294,059,772
FLATIRON WEST INC.	3	30	10%	$292,926,858

*Q4

Granite Construction Company—$1.69 Billion

- **Contracts Won:** 147 (out of 585 total bids—25.1% win rate) (*Q4)
- **Headquarters:** Watsonville, CA
- Granite bids on everything from small sign jobs to $100M+ highway rebuilds, and they lead four districts. Their statewide network of asphalt plants and equipment yards lets them mobilize anywhere in the state.

Security Paving Company—$1.11 Billion

- **Contracts Won:** 25 (out of 166 total bids—15.1% win rate) (*Q4)
- Security Paving doesn't win often, but when they do, it's big. Their average contract lands around $44M. They focus almost exclusively on large Southern California freeway projects and dominate both LA (District 07) and Orange County (District 12).

Bay Cities Paving & Grading—~$1.15 Billion (combined)

- **Contracts Won:** ~41 combined (40.8% / 40.4% win rate) (*Q4)
- The most efficient bidder on this list. Bay Cities wins roughly 40% of the contracts they pursue, primarily in the Bay Area (District 04) and Central Valley (District 10).
- **Data note:** Appears as two entries due to inconsistent naming in source PDFs.

O.C. Jones & Sons—$590 Million

- **Contracts Won:** 50 (out of 114 total bids—43.9% win rate) (*Q4)
- Another Bay Area powerhouse with a near-44% win rate. They know their market and price accordingly.

- California's contractor landscape is notably more distributed than Colorado's, where the top 7 firms controlled nearly 50% of spending. Here, the top 10 account for 34.1% (*Q5). The sheer volume of California's construction program supports a much deeper bench of competitive firms.

Do Projects Go Over Budget?

This is the question everyone wants answered. Caltrans's pay estimate system records the original contract amount alongside the total earned by the contractor at project closeout. The gap between those two numbers—driven by change orders, extra work, and quantity adjustments—is the overrun.

Across 1,648 (*Q8) completed (FINAL) contracts:

- **Average cost overrun: +13.0%** (*Q8)
- **Median cost overrun: +2.7%** (*Q8)
- **32.8% of projects finished under budget** (*Q8)
- Net total overrun on completed contracts: $496 million (*Q8)—FINAL contracts average $4.84M, roughly half the $8.4M dataset average; larger in-progress projects will add to this figure when they close.

That +13.0% average is skewed by outliers, but the median of +2.7% doesn't tell the full story either. Step back and look at what this data actually says: two out of every three Caltrans projects cost more than the contract amount. Overruns seems to be a common occurance over all projects.

Using the exact same methodology against Colorado's CDOT (final cost vs. winning bid, FINAL pay estimates, 2014–2024): CDOT finishes 53.9% of projects over budget with a median overrun of +0.7% (*Q35). Caltrans is worse: 67.2% over budget at a median of +2.7%. But context matters. The gap largely comes from extra work. Caltrans contracts with no extra work finish 42.9% over budget with a median of -0.7%— comparable to CDOT's baseline (*Q36). The real driver is extra work: 82.6% of completed Caltrans contracts carry some extra work (*Q22), and those contracts run 72% over budget at a median of +3.5%. Both systems go over budget more often than not. Caltrans does it more frequently and by more—and extra work spending is the structural reason why.

Distribution of Overruns

Overrun Range	Contracts	Overrun Dollars	Avg Overrun Dollars
> 50% over	13	$99,465,826	$7,651,217
20-50% over	112	$118,250,235	$1,055,806
5-20% over	487	$330,012,473	$677,644
0-5% over	495	$59,928,958	$121,069
Under budget	541	-$111,160,434	-$205,472

*Q9

The 487 contracts in the 5–20% bucket are quietly responsible for $330 million in overruns—more than any other category (*Q9). The 13 contracts that blew past 50% add another $99 million. Meanwhile, the 541 projects that came in under budget only saved $111 million, not nearly enough to offset the $607 million in overruns above them. The under-budget projects aren't saving enough to compensate for the over-budget ones.

The Mega Projects

The most expensive completed Caltrans projects:

Contract No	Contractor Name	Winning Bid	Final Cost	Overrun Dollars	Overrun Pct
03-0H10U4	NOR CAL PAVING	$274,852,000	$295,612,990	$20,760,990	7.60%
08-1C0824	FISHER SAND & GRAVEL CO.	$267,839,839	$266,555,520	-$1,284,319	-0.50%
07-3096U4	FLATIRON WEST INC.	$135,467,638	$157,763,907	$22,296,269	16.50%
08-0Q75U4	J. MCLOUGHLIN ENGINEERING CO. INC.	$134,507,601	$138,313,192	$3,805,591	2.80%
07-301104	GUY F. ATKINSON CONSTRUCTION LLC	$106,032,421	$121,453,258	$15,420,837	14.50%

*Q10

The two biggest completed projects are $260–275M and went in opposite directions—NOR CAL PAVING finished 7.6% over, while FISHER SAND & GRAVEL came in 0.5% under. At the mega-project scale overruns are truely unpredictable. It's not just scope changes but new information found on the job site.

The Worst Overruns (contracts > $1M)

Contract Num	Contractor	Winning Bid	Final Cost	Overrun Dollars	Overrun %
04-3G4544	GOLDEN STATE BRIDGE INC.	$14,858,813	$44,434,385	$29,575,572	199%
11-2N0424	HAZARD CONSTRUCTION COMPANY	$1,708,547	$3,263,146	$1,554,599	91%
06-0U4704	PAPICH CONSTRUCTION COMPANY INC	$24,198,298	$43,408,610	$19,210,313	79.40%
04-3G6204	MYERS AND SONS CONSTRUCTION LLC	$20,349,212	$35,106,551	$14,757,339	72.50%
04-3G4744	ALLIED PAINTING INC.	$38,401,065	$65,655,672	$27,254,607	71%
08-0G6914	SUKUT CONSTRUCTION LLC	$5,568,899	$9,152,679	$3,583,781	64.40%
12-0T3204	DIVERSIFIED LANDSCAPE CO.	$1,813,166	$2,797,397	$984,231	54.30%
10-1J5204	.0 CALIFORNIA INC.	$2,683,683	$3,856,525	$1,172,842	43.70%
04-0Y2604	O.C. JONES & SONS INC.	$2,870,731	$4,116,837	$1,246,106	43.40%
07-0W0304	C. A. RASMUSSEN INC.	$1,756,712	$2,512,081	$755,369	43%

*Q11

Contract 04–3G4544 nearly tripled—from $14.9M to $44.4M. Three of the five worst overruns sit in District 04 (Bay Area), where dense urban conditions, utility conflicts, and environmental constraints make cost predictability especially difficult.

Most Consistent Under Budget

Contractor	Contracts	Avg Overrun %	Total Savings
HIGHLAND CONSTRUCTION INC.	4	-18.90%	-$1,699,231
POLO ENGINEERING INC.	4	-18.60%	-$988,827
PAL GENERAL ENGINEERING INC	5	-18.40%	-$5,328,404
SAN PATRICIO CONSTRUCTION INC	3	-15.70%	-$857,988
PAPICH CONSTRUCTION CO. INC.	8	-13.40%	-$4,552,693
CENTRAL STRIPING SERVICE INC.	8	-12%	-$1,247,810
TAYLOR JANE CONSTRUCTION LP	4	-12%	-$257,571
STERNDAHL ENTERPRISES LLC	4	-10.80%	-$522,598
T.P.A. CONSTRUCTION INC.	5	-8.80%	-$459,106
CALIFORNIA ENGINEERING CONTRACTORS INC.	4	-6.90%	$1,205,121

min 3 FINAL contracts

Smaller projects seem to go under budget much more often than mega projects. This saves the state millions.

How Accurate Are Caltrans's Engineer Estimates?

Before contractors bid, Caltrans engineers prepare a cost estimate. How close are these estimates to what contractors actually bid?

Year	Contracts	Median % Over Engineer Estimate	% Of Contracts Over Engineer Estimate
2019	334	-8.9	29.9
2020	305	-14.5	18.7
2021	344	-11.7	22.4
2022	369	-1.9	45.3
2023	334	1.2	51.8
2024	295	-4.4	37.6
2025	280	-13.5	23.2
2026	29	-13.1	20.7

Median % vs Engineer Estimate—the typical winning bid expressed as a percentage above (+) or below (−) Caltrans's internal pre-bid cost projection. A value of -8.9% means the typical winner bid 8.9% below what engineers estimated. *% Of Contracts Over Engineer Estimate*—the share of contracts that year where the winning bid exceeded the engineer estimate. Values below 50% mean most winners bid under estimate; above 50% means most came in over.

- Median winning bid vs. estimate overall: 92.0%—meaning the typical winning bid is 8% below the engineer's estimate (*Q15)

- 67.4% of winning bids came in under the engineer's estimate (*Q15)

In most years, winning bids come in well below the estimate. The exception was 2022–2023, when bids crept toward and then crossed the estimate threshold. In 2023, the median winning bid exceeded the engineer estimate for the first time in this dataset (+1.2%), with 51.8% of bids coming in above estimate. This aligns directly with peak construction inflation and the lowest competition period in the dataset. By 2025, the pattern fully reversed—bids fell back to 13.5% below estimates, confirming that the 2022–2023 period was an anomaly, not a structural shift.

Competition Trends

Year	Contracts	Avg Bidders	Sole Bidders	Highly Competitve Pct
2019	334	5.3	2.4	59.60%
2020	305	5.9	0.7	71.50%
2021	344	5.9	1.5	67.20%
2022	369	4.8	1.9	50.10%
2023	334	4.4	3	38.30%
2024	295	5	1.4	54.60%
2025	280	5.7	1.1	66.80%
2026	29	5.8	0	75.90%

*Q14

California's bidding environment is very competitive. Even at its worst in 2023, Caltrans saw 4.4 bidders per contract with a sole-bidder rate of just 3.0% (*Q14). Colorado hit 22.2% sole-bidder in 2023.

The number of contracts attracting 5+ bidders decreased from 71.5% in 2020 to 38.3% in 2023, then climbed right back to 66.8% by 2025 (*Q14). The 2022–2023 dip tracks with the national pattern—labor shortages and material price swings made contractors more selective about which jobs to pursue. The recovery suggests California's construction market has enough depth to bounce back quickly.

Extra Work and Change Orders

82.5% of completed contracts (1,359 of 1,648) include extra work—new scope added after the contract was awarded (*Q22). That extra work totals $719 million and averages 18.7% of the original contract amount (*Q22).

Here's the critical finding: on contracts that went over budget, extra work accounts for 101% of all net cost growth (*Q22b). The original contract line items, that weren't in the extra work, actually come in slightly under their authorized amounts on net (-$7.8M) (*Q22b). Every dollar of budget overrun traces back to scope that wasn't in the original contract.

Contracts with extra work have a median overrun of +3.5% and 72% go over budget. Contracts without extra work have a median overrun of -0.7% and only 43% go over budget (*Q22c). This seems to explain what is going on with the overruns.

Once extra work exceeds 10% of the original contract, the project is almost certainly going over budget (94.4%) (*Q22c).

It gets worse as projects get bigger. Every single contract over $25M had extra work added, and the overruns scale accordingly (*Q22d, *Q36):

Amount of Extra work	Contracts	Avg Cost Overrun %	% over budget	Avg Additional Days
No extra work	287	-2.7	43.2	0.4
Under 5%	775	0.2	59	4.8
5-10%	301	5.8	85.4	10.7
10-20%	179	12.9	94.4	18.7
20-50%	88	22.4	90.9	23
50%+	15	55.6	100	77.2

*Q22c

The pattern is clear: more extra work means more cost overruns and more schedule delays. Once extra work exceeds 10% of the original contract, the project is almost certainly going over budget (94.4%).

It also scales with project size (*Q22d):

Contract Size	Contracts	% with extra work	% over budget	Median Over Budget
Under $1M	384	68.20%	64.10%	2.5
$1-5M	919	82.80%	64.40%	2.1
$5-10M	187	95.70%	71.70%	3.4
$10-25M	114	99.10%	80.70%	5.9
Over $25M	44	100%	88.60%	6.3

*Q22d

Every single contract over $25M had extra work added. This isn't necessarily a sign of poor planning—large highway projects are complex enough that unforeseen conditions (utility conflicts, soil issues, design changes requested by local agencies) are almost guaranteed to surface. The question isn't whether extra work will appear, but how much and whether it was foreseeable scope that should have been in the original contract.

What's driving the extra work?

The top items with the largest cost overruns beyond their original authorized amounts tell the story (*Q22e):

Item Description	Contracts	Total Overrun Dollars	Avg Overrun %
Hot Mix Asphalt	1147	$75,287,188	13.20%
Roadway Excavation	665	$27,822,362	6.30%
Time-Related Overhead	1369	$22,479,349	3.30%
Cold Plane AC	795	$8,469,346	4.30%
Aggregate Base	585	$5,980,800	5.40%

*Q22e

Paving and earthwork dominate. These are quantity-driven items where actual field conditions often require more material than estimated. The standout is Time-Related Overhead: it carries a net overrun of +$20.4M across all contracts—the financial fingerprint of schedule delays. When projects run long, daily overhead charges accumulate directly on this line item.

Note that Hot Mix Asphalt has a large gross overrun ($75.3M) but a net of $46.9M across all contracts—on many contracts, HMA quantities come in well under bid. It is a high-variance item in both directions.

What About Contracts Without Extra Work?

Even contracts with zero extra work still see a 42.9% overrun rate (*Q34). Are these overruns really a problem?

The numbers show these are not a structural problem: the median overrun is -0.7% (slightly under budget), the average is -2.7%, and 67.5% of these contracts finish within 5% of the original amount in either direction (*Q34). These are routine quantity variances—not systematic cost failures.

Most Worked Highways

Highway	Contracts	Total Bid Value
I-5	169	$2,002,901,744
US-101	149	$1,602,065,359
SR-99	81	$947,467,494
I-80	59	$856,916,643
I-10	41	$783,377,284
I-15	44	$453,258,606
I-405	24	$331,086,494
I-680	14	$302,503,647
I-210	33	$224,210,380
I-40	13	$156,993,631

*Q17

I-5 runs the full length of California from Mexico to Oregon, and the construction spending reflects it—169 contracts totaling $2.0 billion (*Q17). US-101 along the coast is next at $1.6B, followed by SR-99 through the Central Valley at $947M.

Just those top two highways—I-5 and US-101—account for $3.6 billion in work, roughly 18.7% of all contract value in the dataset (*Q17, *Q1).

So—Is Caltrans Efficient?

2,292 (*Q1) contracts and $19.3 billion (*Q1). The data tells two very different stories depending on where you look.

The competitive market works. With 5+ bidders per contract on average and sole-bidder rates below 3% (*Q14), California's contractor market is one of the most competitive in the country. Winning bids consistently undercut engineer estimates by 8% (*Q15). Regional specialization—Granite on the Central Coast, Bay

Cities in the Bay Area, Security Paving in Southern California (*Q23) —creates natural price pressure. The bidding process works.

Projects go over budget more often than not. 67% of completed contracts finish above their winning bid, with a median overrun of +2.7% (*Q8). About half (49.6%) land within ±5% of budget, but 37% run more than 5% over. The average is pulled up by outliers—only 13 projects (0.8%) exceeded 50% overrun. Extra work is the primary driver: averaging 18.7% of original contract amounts (*Q22), it accounts for virtually all of the net cost growth.

The market is geographically fragmented—and that's healthy. California has distinct regional leaders. Granite controls the Central Coast and Inland Empire. Bay Cities owns the Bay Area. Security Paving dominates Southern California freeways. This geographic fragmentation creates natural competition zones.

The biggest risk is mega-project overruns. While the typical project stays near budget, the largest contracts ($100M+) show more variance. The two largest completed projects diverged—one came in 7.6% over, the other 0.5% under. The worst overruns are concentrated in a small number of Bay Area projects.

The 2022–2023 market shock was real but temporary. Competition dropped, winning bids exceeded engineer estimates for the first time, and cost overruns spiked. By 2025, the market had recovered—69% of contracts drew 5+ bidders and bids dropped back to 13.5% below estimates (*Q14, *Q25).

The bottom line: Caltrans runs a competitive bidding process in a healthy, geo-diverse market. That's genuinely good. But competition at bid time doesn't translate to cost control during construction. Two-thirds of projects going over budget—driven almost entirely by extra work and change orders—is a systemic problem, not a series of one-off surprises.

For Contractors

If you're a highway contractor or consultant, this article only scratches the surface of what could be analyzed from the data.

- Which competitors consistently undercut you on specific item codes, and in which districts?

- Is your asphalt pricing costing you jobs, or is your mobilization out of line?

- Where do you win most often—by district, project size, or type of work?

- How many bids are you throwing at projects where your historical win rate is near zero?

This article is the overview. The underlying dataset goes much deeper—item-level pricing, district-by-district breakdowns, and head-to-head competitor analysis over multiple years.

If you want to see where your firm stands or you want access to the data, reach out.

Author's Note

This is the second in a series of state DOT analyses. The first covered CDOT in Colorado— $7.18 billion across a smaller program. The Caltrans dataset is roughly three times larger ($19.25B) and includes richer lifecycle data through the PROGRESS, AFTER ACCEPTANCE, and FINAL pay estimate stages, plus 2.3 million item-level records.

Every number in this article traces back to Caltrans's publicly available bid tabulations and PETS (Pay Estimate Tracking System) records.

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